

REEXPORTS KEY ANALYSIS STEPS

TO DETERMINE CONTROLS ON ACTIVITIES OUTSIDE THE UNITED STATES

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STEP 1 →

U.S. PERSONS?

U.S. Ownership or Control

→ Prohibitions on activities involving Cuba, Iran; restricted nuclear activities; certain restricted parties; antiboycott; ITAR brokering issues

STEP 2

U.S. Person

→ Restrictions above plus prohibitions on activities involving: North Korea, and covered regions of Ukraine; support for proliferation, military - intelligence end use/user; other OFAC sanctions programs and SDN's

STEP 2

Not a U.S. person and no U.S. ownership or control

STEP 2

STEP 2 →

SENSITIVE U.S. CONTENT

What are you exporting?

USML content

→ Approval needed for reexport or retransfer under the ITAR

STEP 4

EAR content

A EAR 734.4(a), (b) sensitive content (examples: semiconductors, encryption, gas turbine engine technology, 9x515, 600 series)

→ Special rules apply if EAR jurisdiction

B U.S. item or U.S. content is "publicly available" software or technology

→ Not subject to the EAR

C Other

STEP 3

Created using U.S. technical data or technology

A ITAR technical data or defense service

→ ITAR approval required

B EAR technology, software or plant

→ Foreign direct product rule may apply

STEP 3 →

U.S. CONTENT DE MINIMIS

How much U.S.-controlled content?

≤ 10%

→ Usually not subject to U.S. jurisdiction
If technology, file a one-time report and wait 30 days

> 10% TO ≤ 25%

→ U.S. jurisdiction to Country Groups E:1 or E:2
If technology, file a one-time report and wait 30 days

STEP 4

> 25%

→ U.S. jurisdiction worldwide
If technology, file a one-time report and wait 30 days

STEP 4

STEP 4 →

CLASSIFICATION

Find the ECCN in CCL

→ Determine U.S. licensing requirements
Note the reasons for control for the Export Control Classification Number

STEP 5

STEP 5 →

NO LICENSE REQUIRED

Is item NLR to destination country?

Look up ECCN's reasons for control in EAR Part 738 Country Chart:
Does the country have an X?
Note: A few ECCNs have peculiar additional control requirements

Y → Not eligible for NLR

STEP 6

N → Eligible for NLR

STEP 7

STEP 6 →

LICENSE EXCEPTION

Eligible for ECCN-based or situation-based license exception?

Y →

STEP 7

N → BIS or OFAC reexport license required

STEP 7

STEP 7 →

END USE/USER CONTROLS

Do other controls apply?

Restricted Parties?

Red Flags?

Knowledge of Violation?

Restricted Country?

Proliferation?

Military or Military-Intelligence End Use/User?

BIS Affiliates Rule (50% rule)?

Supercomputer/semiconductor end use?

BIS or OFAC license may be required. Special additional rules may apply to embargoed/restricted countries.